

Chairman-cum-Managing Director's Speech at the 50th Annual General Meeting held at Hyderabad on 08.08.2008.

Dear Shareholders,

I have great pleasure in welcoming you all to the 50th Annual General Meeting and present to you the Annual Report of your Company for the Financial Year 2007-08.

The Directors' Report and the final accounts of your Company for the period ended 31st March 2008 have already been provided to all the shareholders. With your permission, I take them as read.

Your Company is in its 50th year, and has grown from strength to strength. It is my proud privilege to congratulate you on this occasion. I am sure, you will join me to wish the Company that it may grow and diversify into new areas and make considerable contribution to the nation building!

ECONOMIC SCENARIO

The year 2007-08 was an eventful year both nationally and internationally. The sub-prime crisis, rise in prices of oil, gold and commodities had a telling effect on the share market and the investors across the globe. The runaway inflation remained a major source of worry for Governments worldwide.

During 2007, the Global economy expanded by 4.9%. The growth in most of the advanced economies witnessed sharp deceleration in the last quarter of the year 2007, particularly on account of the financial crisis that spread beyond the US sub-prime mortgage market. In contrast, emerging and developing economies continued to grow against this trend, despite some slackening of exports and industrial production towards the end of the year. In the current year, the global economy is likely to register a relatively lower growth in the wake of inflation accentuated by rise in prices of food grains, oil, commodities and other industrial inputs.

Against this, Indian economy performed better. Buoyancy in agriculture has pushed the economic growth to 9 per cent, up from 8.7 per cent estimated earlier, even as the performance of manufacturing sector has declined.

COMPANY'S PERFORMANCE

And your Company, I am happy and proud to say, has outperformed itself over all the previous years, and set new records in the following parameters:

- Turn-over touched a new high of Rs.5,711 crore, breaking the previous year's record of Rs.4,186 crore by 36%.
- Profit Before Tax shot up to Rs.4,947 crore, 41% higher when compared with the previous year's Rs.3,498 crore.
- Two interim dividends totaling to 331% have already been paid as against the total dividend of 352% paid in the previous year.



Rana Som
Chairman-cum-Managing Director

- As an MoU signing PSE with the Government of India, your Company's performance during the year qualifies for 'Excellent' rating.
- Total excavation reached 399.19 lakh tonnes, registering an increase of 9% over the previous year's achievement of 367.14 lakh tonnes.
- ROM production went up to 306.08 lakh tonnes, an increase of 10% over the previous year's production of 277.27 lakh tonnes.
- Lump+ fines production touched a record of 298.16 lakh